

January 2007

T L DIRECT

The Line Direct

The Benefits of the Sales and Operations Planning and forecast management

TLD performance in selling equipments and parts is strongly supported by shorter lead-time. TLD financial performance is also deeply linked to its manufacturing capacity and global output. In order to maximize our capacity and to reduce lead-times, TLD Sales Organizations are preparing a 6 month rolling forecast on a monthly basis, but this does not prove sufficient to optimize our production capacity, as more and more orders are difficult to anticipate, with the increasing weight of handling and rental companies, which must react to short term opportunities.

Successful companies create a link with the Sales & operating planning (S&OP), between sales and marketing, and operations, in particular logistics and production, but also with purchasing, human resources and finance. The S&OP thus becomes an important tool to make the business decisions with a thorough view of their impacts on the entire operation.

Customer demand for quicker responses, and our large variety of products, make the S&OP a powerful tool to manage operations. In the context of new products introduction, this process enables to better monitor the start-up, minimize disruptions, and create sales opportunities by giving a better reactivity.

Area Sales Managers are the key players in the launching of the process by identifying customers projects. Product Support Managers add up this useful information and combine the forecasts of each sales area, but also input additional data based on 12 months trend. During the monthly S&OP meeting, COO, logistic managers and Purchasing managers exchange updated information concerning manufacturing capacity, suppliers' evolutions. The result of this meeting is common forecast spreadsheets which allow operations manager to take all appropriate decision far in advance to ensure production output, and, eventually customer satisfaction.

S&OP or forecast management is a key success factor for the Global Products output. Without such process, it would have been impossible to have delivered by now 15 towbarless tractors for the A380, and to accept the challenge of delivering within 16 weeks only, 4 additional TPX-500-S to a major customer, when the lead time for certain of its components exceeds 6 months!

The S&OP will for sure help us to become the GSE market leader, and to reduce our vulnerability to the cycles of our industry.

Hervé CRIQUILLION

The Latest Dispatch

A strong TLD presence on the new Bangkok airport

“Sa-Wa-Dee-Kup”, the greeting words every visitor will hear when entering into the Kingdom of Thailand.

“TLD”, the big and attractive logo most passengers will see on the moving equipment at the new Bangkok Suvarnabhumi International Airport when boarding out of their airplanes. This simply means a strong TLD presence in Thailand.



The new Bangkok Airport officially opened on 28-September-2006. There are two authorized operators for cargo handling and ramp handling services, mainly Bangkok Flight Service (BFS) and Thai Airways (TG). TLD was successfully awarded by BFS a large contract of supplying full

package of various GSE, which amounted to €12 million and it was a big challenge to all TLD factories due to the

quantity and tight delivery schedule. In total it consisted of 118 units of mobile equipment and 547 units of dollies & baggage carts. These include the first A380 handling capable tractor (TPX-500-S) as well as the largest fleet of electric tractor (TEX-20) and baggage tractor (TMX-20) in Asia. In order to support customer's new operation, a consignment spare parts stock is kept at the BFS facility; in the weeks before the airport opening, an extensive on-site commissioning, and training programs,

were conducted by TLD Asia service team. During the first month of operation, our service team stationed at the airport around the clock, in order to react immediately to any problem that our equipment could encounter. Today, TLD Asia Thailand has kept four technicians and at least one is stationed in a site office at any time to support BFS as well as other customers at the airport.

In addition to the success in BFS, TLD was successfully awarded some big orders from TG in the past few years including a large fleet of transporters (21 units), belt loaders (24 units) and passenger steps. On the military side, delivery of TPX-200-S and GPUs to Royal Thai Air Force were completed in end 2006. Eventually, two catering trucks for LSG-Bangkok are in production and all this further strengthens the TLD presence in Thailand.

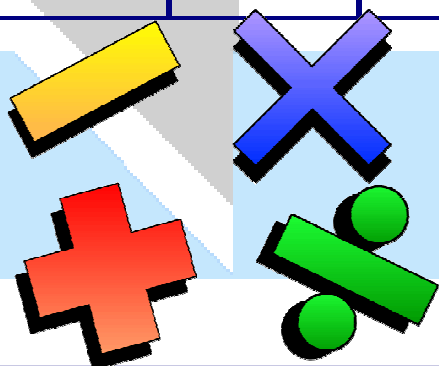


The Latest Dashboard

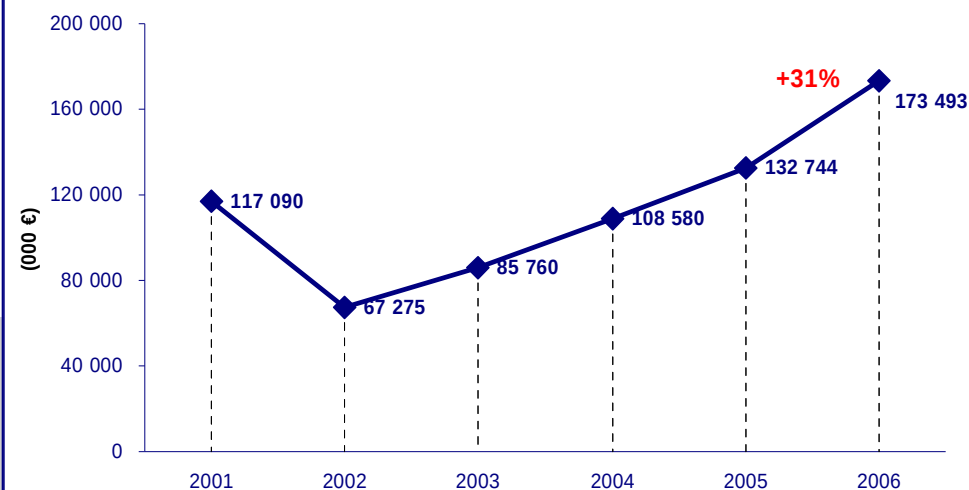
T L Dash board (in M€uros)

(Year to date-end of DECEMBER figures)

TLD Sales	2006/12		2006/2005 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	56,5	32,6%	43,7%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	70,0	40,3%	31,6%
GSE - AREA ASIA (w/o Taiw an TRVD)	34,0	19,6%	59,4%
Other activities (Adhésives solutions + Taiw an TRVD)	13,0	7,5%	<31,2>%
TOTAL TLD SALES	173,5	100%	30,7%



Evolution of TLD's Sales



TLD Life Digest

The first steps of TLD in Germany

20 month ago TLD was, more or less, unknown in the German market. Only a few global customers like Lufthansa LEOS were in contact and occasionally buying from TLD.

TLD had to learn that the German market is slightly different from other markets. Most of German customers only want to deal in German language and do not accept English as language for proposal and negotiation as well as for communication for after sales and spare parts. So it was not possible for TLD at this time to enter into the German market.

The German market is a difficult market where decision makers have been working with German manufacturers for years in a close relationship. It is therefore very difficult to convince them to buy from a non German manufacturer, because they are afraid in terms of service and reliability of products.

The market is a right now growing in Germany, with a lot of competitors in all product ranges: Goldhofer, GHH, Schopf, Kögl/Kamag, Trepel, Windhoff, Mulag, Rofan, Lechmotoren, Rheinmetall (ASU), Franke,... They are all well known in Europe, and some of them worldwide.

TLD Europe put in place an action plan, after collecting the information from around 20 customers in Germany, which included signing an agreement with a German service company and recruiting a German speaking person for the spare parts department.

After offering after sales, parts service, commissioning and training resources in German language, TLD immediately obtained a positive feedback from the market and movement started.

Additionally it proved very important to propose some demo units, like towbarless tractors or NBL, to the German market. All these efforts put together brought TLD the first orders from German customers in 2006. Today we have already sold some TPX-200-MT, TMX-150, NBL, TMX-30 and ABT-480 to the German market.

All these sales are references for new orders since, even though Germany is a big market, all airport managers know each other. They are all connected through the ADV – Arbeitsgemeinschaft-Deutscher-Verkehrsflughäfen, which is a working group for Ground Handling and also connected with Austrian and Switzerland airports.

The market in Germany presents some big differences, with different philosophies driven by the existing airports strategies, and different laws in each federal Lander, and the influence of the low cost airlines which helps us a lot.

Our efforts in the market are now focused on selected airports where we see the biggest potential. They do not look only for the best price, but rather for the best global service. To gain a new customer, and to build up a relationship of trust in the TLD products and support, is very time consuming.

In conclusion, the TLD target for 2007 is to win new customers for our Global products in Germany, and to strengthen our position with our existing customers.

Christoph PORTELE

The Last Development of TLD Saint-Lin

2006 has been the year when everyone's work and perseverance as well as strategy implemented showed that it was possible for the site of Saint Lin to achieve positive results. This must be our pride and must motivate us for the years to come. The key changes in the factory mainly concerned the industrialization of the site: the regrouping of the assembly zones, the downsizing of the warehouses, the redefinition of flows and storage areas, contributed to create a better organization and give a better image to the factory. The customers are very sensitive to such matters when visiting the factory, and it reinforces the image that our products must give : quality and reliability.



The only major development in 2006 has been the launching of the lavatory and water trucks WSP/LSP-900. In spite of some start-up difficulties, these machines seem very promising in term of volume for the years to come.



2007 will see the launching of several new vehicles, like the new generation TF-7-GR, which, with some improvements, should become very competitive price wise. But 2007 will be above all the year of electrification, with the electric ABS by the end of the year, and especially with the Electric Tractor to replace the TEX 20, which had reliability problems. This project is a major one for the future of the Saint Lin factory. As a conclusion, we have to confirm in 2007 the results of 2006, with one key objective: to be more than ever focused on the support to our Customer.

Nicolas VERIN

The Last Development of TLD Canada

I.M.P.A.C.T. Improve Market Penetration And Cost Target program

This program was initiated as an aggressive reaction to the following facts that have a negative impact on our profitability:

- Canadian dollar fluctuation
- High prices for steel
- Competition aggressiveness worldwide
- High cost of transportation for loaders
- Loaders transfer prices are very market sensitive

The main goals are: Improve our margins, Improve our field reliability and Streamline our operations.

TLD Canada is now completely in high gear in this program.

With the commitment of all the team members of the Sherbrooke facility, the program is moving at a steady pace. Our group Sourcing Team is tagging along as a great contributor to the program success. All TLD sales and service team worldwide are key players in supporting the effort to improve the market penetration.

The focus is mainly but not limited to the following elements:

- Evolution of the Industrial base (New suppliers)
 - + Some major weldment.
 - + Hydraulic cylinders
 - + Electrical boxes
 - + Wiring harnesses
 - + All these changes are aiming not only at cost reduction but to improve quality and reliability.

- Prioritizing engineering focus on aggressively addressing field issues.
- Review and improve loaders sales documentation and data
 - + Release twice a year, a product improvement list on a Power Point presentation.
- Processes, processes, processes: Be the forerunner in the implantation, streamlining and improving process by using the IT tool created accordingly.

All the elements of the program are closely monitored. A monthly follow-up meeting is focusing on the progresses vs the detailed plan. Corrective actions are then immediately taken to ensure the success.

A very challenging and rewarding program.

Alain BEAULIEU

TLD people

East Coast Parts Hub



The Boston Celtics of the 1950's and 1960's were the epitome of a team. They never had the best player in the league but they won 11 championships from 1956-1968 including 10 in a row. They had a team concept and each player understood the team was always more important than their individual accomplishments.

Some departments also function as a team. In Windsor Connecticut the parts hub works as a team as well as anyone around and because they do, they operate at a championship caliber every day. No one person is more important than the team or the mission.

Today our business continues to grow and we need to do more and more with the same resources. The only way to meet the challenge is to become more efficient. Working together to solve problems and meet the challenge everyday is the Hallmark of the TLD America East Coast Parts hub.

TEAM accomplishments:

- Paperless sales orders
- Reorganized stockroom and shipping department
- Maximize the use of on-line manuals and electronic data

Bill Crocker-Handles parts shipping and receiving for TLD America and Windsor as well a variety of other related tasks such as shipping Windsor parts for warranty and production, receiving, stockroom control, etc. Bill has 16 years with TLD and manages to get everything done no matter what the office throws at him.

Joanne Hubbell-Has the most parts experience in the department with 18 years and is our leader in many ways especially the way she manages her customers and suppliers; she leads by example.

Julie Hussex-Has the fewest years in the company for the department with 4, but does the purchasing, invoicing, commercial paperwork and so many of the smaller things that make us go.

Luis Ramos-Splits his time between shipping warranty parts to keep customers and service tech's happy and his main job is as parts expeditor for the Windsor factory. He also speaks Spanish and keeps many Central and South American customers happy. Luis is one of the last of the former Nordco employees who moved to Windsor in 1994. He has 18 years of experience.

Harry Wheeler-Has been with the company the longest of all East Coast parts people: 28 years. His long tenure as TLD Windsor purchasing and material control makes him an expert on the ACE product parts.

The starting line-up is:

Frank GUSTAFSON

